Superior Court of the State of California
County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C21

JUDGE CRAIG E. ARTHUR

Date: August 28, 2026

The court will endeavor to post tentative rulings on the Court's website by 4:00 p.m. on the day before the Law and Motion Calendar. However, ongoing proceedings may prevent posting by that time. Please do not call the department for tentative rulings if none are posted. The court will not entertain a request for continuance once a tentative ruling has been posted and no additional papers will be considered once a tentative ruling has been posted.

If all parties agree to submit on the Court's tentative rulings, please call the Court Clerk to inform the court that all parties submit on the Court's tentative ruling (657-622-5221). The tentative ruling will then become the order of the Court.

The Law and Motion Calendar is typically heard on Fridays at 10 a.m., unless otherwise noted. All arguments will be heard at that time. Unless otherwise indicated in the tentative ruling, the prevailing party will give Notice of Ruling. If no one appears for the hearing, the court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

APPEARANCES: The Court offers remote appearances for the Law and Motion Calendar via Zoom. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at https://www.occourts.org/civil-remote-hearings , and then click on Department C21 (to check-in). The Court's "Civil Desktop Remote Appearance Video," an instructional video, is available through the Court's website at Civil Desktop Remote Appearance Video, and the Court's "Civil Mobile Application Remote Appearance Video" is available through the Court's website at Civil Mobile Application Remote Appearance Video. If you encounter difficulty checking-in online or connecting remotely, please call Department C21 for assistance at (657) 622-5221. Counsel and self-represented parties preferring to appear in-person may do so.

COURT REPORTERS: Official court reporters (i.e. court reporters employed by the Court) are NOT typically provided for law and motion matters in this department. Please see the Court's website for further information. The Court's policy on privately-retained court reporters is available on the Court's website at: Privately-Retained Court Reporter Policy.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
50	***Bouck vs. FCA US, LLC.***	The hearing on Plaintiffs' Josh Bouck and Janine Bouck's Motion to Set Aside Dismissal and Reinstate Case is continued to **10/09/2026 at 10:00 AM in Department C21**. Defendant filed a (tardy) opposition on 8/24/26, claiming that it had not been served with a copy of the moving papers. (ROA 100.) It appears that, perhaps through error or inadvertence, Defendant did not receive the moving papers. Accordingly, the Court finds it is in the interests of justice to continue the hearing so that Defendant has a fair opportunity to file an opposition. Plaintiff may file a reply. The opposition and reply are due per the timing and service provisions of CCP section 1005 and based on the continued hearing date. The Clerk shall give notice of the continued hearing date.
51	***Clear Vision Financial LLC vs. Consumer Legal Group, P.C.***	The motion of plaintiffs Clear Vision Financial LLC and Perfect Financial LLC for an order granting them relief from their waiver to make objections to the first sets of form and special interrogatories, requests for production, and requests for admissions propounded by defendants Consumer Legal Group, P.C. and Solomon Feig is GRANTED. Plaintiffs move for an order granting them relief from their waiver to make objections after they failed to serve timely responses to sets of form and special interrogatories, requests for production, and requests for admissions

		propounded by defendants. Defendants oppose the motion. The parties agree that when a party fails to serve timely discovery responses and a waiver of objections to the discovery results, a court may relieve that party from the waiver if it determines that: (1) the party has subsequently served a response that is in substantial compliance with the relevant discovery statutes; and (2) the party's failure to serve a timely response was the result of mistake, inadvertence, or excusable neglect. The parties agree that the first prong of the test has been met. Specifically, they agree that, in ruling on defendants' motions to compel responses to the sets of interrogatories and requests for production and to deem the matters in the sets of requests for admissions admitted on June 16, 2026, the Court determined that the responses that plaintiffs served before the hearing substantially complied with the Code. Additionally, the parties agree as to the standard to be used for the second prong of the test. Specifically, they agree that the Court is to determine whether the failure to timely serve the responses was the result of "mistake, inadvertence, or excusable neglect" using the same standard for those words that the Court gives them when ruling on a motion to set aside a default or default judgment brought under Code Civ. Proc. section 473(b).

However, the parties disagree as to whether the failure of the plaintiffs to timely serve the responses, which, according to the declaration of plaintiffs' counsel was the result of his failure to calendar the continued deadline to serve the responses, was the result of mistake, inadvertence, or excusable neglect. Plaintiffs contend that it was and defendants disagree, contending that, although plaintiffs' counsel chose the extended date of February 2, 2026, as the deadline to serve the responses, not only did he fail to calendar the deadline, but he did not serve the responses or seek relief for several months.

While defendants' argument is somewhat persuasive, a closer look at the circumstances described in the declaration of plaintiffs' counsel shows that the failure to calendar the extended deadline and timely serve the responses is excusable.

Among other things, defendants propounded sixteen sets of initial discovery to plaintiffs, i.e., each of the two defendants served sets of form and special interrogatories, requests for production, and requests for admission to both plaintiffs. Even with some overlap and duplication, responding to sixteen sets of written discovery represents a tremendous amount of work. In fact, the copies of the responses attached to the moving papers amount to more than 400 pages.

Furthermore, plaintiffs could not bring the instant motion for relief until they had prepared, verified, and served the responses. Again, responding to sixteen sets of discovery represents tremendous work.

Plaintiffs' counsel declares that counsel for the parties engaged in settlement discussions between December 2025 and January 2026, which was the same timeframe as when the discovery extensions given to both parties were given. He declares that counsel conferred telephonically about settlement on December 12, 2025, and made a settlement offer. He also declares that he sent a counter settlement offer to defense counsel on January 13, 2026, but never received a response.

Plaintiffs' counsel declares that his error in calendaring the deadline for the discovery responses resulted in the failure to timely serve the responses on February 2, 2026. He also declares that he learned that defense counsel had filed the motions to compel and deem the requests for admissions admitted on February 13, 2026, because he was out of the country when they were initially filed and served. Although defense counsel is correct in stating that a party bringing motions to compel and deem requests for admissions admitted has no obligation to meet and confer before filing those motions, in this instance, an attempt to meet and confer seemed reasonable and a professional courtesy when 16 sets of discovery are involved and counsel has been engaging in settlement discussions and giving mutual extensions to respond discovery.

		Finally, defense counsel argues that plaintiffs' counsel delayed in bringing this motion, suggesting that plaintiffs' counsel did nothing for months. Yet, according to the declaration of plaintiffs' counsel, defense counsel did not respond to his request on February 13, 2026, that the motions be taken off-calendar until February 27, 2026. The motion of plaintiffs for an order granting them relief from their waiver to make objections to the first sets of form and special interrogatories, requests for production, and requests for admissions propounded by defendants Consumer Legal Group, P.C. and Solomon Feig is GRANTED. Plaintiffs are to give notice of the Court's ruling.
52	***Cordova vs. Elite Framing Crews, LLC***	The motion by Ogletree, Deakins, Nash, Smoak & Stewart P.C., to be relieved as counsel of record for Elite Framing Crews, LLC, is GRANTED. Counsel is ordered to submit a completed proposed order with the client's current/last known address and telephone number for the Court's review. Upon the signing of the order, counsel shall serve the signed order on the client and all parties that have appeared. Ogletree, Deakins, Nash, Smoak & Stewart P.C. will be relieved as counsel of record for Elite Framing Crews, LLC, effective upon the filing of the proof of service of the signed order upon the client and all parties.

		Elite Framing Crews, LLC is advised it cannot represent itself in this litigation. A licensed attorney must represent a business entity. (*Paradise v. Nowlin* (1948) 86 Cal.App.2d 897, 898; *Roddis v. Strong* (1967) 250 Cal.App.2d 304, 311; see Bus. & Prof. Code, § 6125.) Failure to retain an attorney may lead to striking of the pleadings, among other actions. Ogletree, Deakins, Nash, Smoak & Stewart P.C.is ordered to give notice of the ruling.
53	***Dahdah vs. Costco Wholesale Corporation***	***No Tentative Ruling***
54	***Elhawary vs. McGibbons***	The unopposed general demurrer of defendant Anna McGibbons to the first, fourth, and fifth causes of action in the complaint of plaintiff Mohamed Elhawary is SUSTAINED with 20 days' leave to amend. Plaintiff did not oppose the demurrer, thereby conceding its merits.
55	***Habibabadi vs. Mercedes-Benz USA, LLC***	The motion by Plaintiff Mohammad H. Hashemi Habibabadi ("Plaintiff") for an order vacating the Court's December 5, 2025, Order compelling arbitration of this action, an order lifting any stay of litigation, monetary sanctions, evidentiary, terminating, and/or contempt sanctions, including entry of default, against Defendant Mercedes-Benz USA, LLC ("Manufacturer") is granted in part and denied in part.

The Court lifts the stay to consider Plaintiff's motion.

Manufacturer's requests for the Court to take judicial notice of the Court's Minute Orders in this case are denied because it is unnecessary to ask the court to take judicial notice of materials previously filed in this case. A party may "simply call the court's attention to such papers." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2026) ¶ 9:53.1a.)

The Court declines to consider Plaintiff's reply evidence. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.)

Pursuant to Code of Civil Procedure section 1281.97:

(a)(1) In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, the drafting party to pay certain fees and costs before the arbitration can proceed, if the fees or costs to initiate an arbitration proceeding are not paid within 30 days after the due date the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel arbitration under Section 1281.2.

(2) After an employee or consumer meets the filing requirements necessary to initiate an arbitration, the arbitration provider shall immediately provide an invoice for any fees and costs required before the arbitration can proceed to all of the parties to the arbitration. The invoice

shall be provided in its entirety, shall state the full amount owed and the date that payment is due, and shall be sent to all parties by the same means on the same day. To avoid delay, absent an express provision in the arbitration agreement stating the number of days in which the parties to the arbitration must pay any required fees or costs, the arbitration provider shall issue all invoices to the parties as due upon receipt.

(b) If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may do either of the following:

(1) Withdraw the claim from arbitration and proceed in a court of appropriate jurisdiction.

(2) Compel arbitration in which the drafting party shall pay reasonable attorney's fees and costs related to the arbitration.

…

(d) If the employee or consumer proceeds with an action in a court of appropriate jurisdiction, the court shall impose sanctions on the drafting party in accordance with Section 1281.99.

(Code Civ. Proc., § 1281.97.)

Code of Civil Procedure section 1281.99 provides as follows:

(a) The court shall impose a monetary sanction against a drafting party that materially breaches an arbitration agreement pursuant to subdivision (a) of Section 1281.97 or subdivision (a) of Section

		1281.98, by ordering the drafting party to pay the reasonable expenses, including attorney's fees and costs, incurred by the employee or consumer as a result of the material breach. (b) In addition to the monetary sanction described in subdivision (a), the court may order any of the following sanctions against a drafting party that materially breaches an arbitration agreement pursuant to subdivision (a) of Section 1281.97 or subdivision (a) of Section 1281.98, unless the court finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (1) An evidence sanction by an order prohibiting the drafting party from conducting discovery in the civil action. (2) A terminating sanction by one of the following orders: (A) An order striking out the pleadings or parts of the pleadings of the drafting party. (B) An order rendering a judgment by default against the drafting party. (3) A contempt sanction by an order treating the drafting party as in contempt of court. (Code Civ. Proc., § 1281.99.) "The language of section 1281.97 is unambiguous. It provides that the drafting party is in 'material breach,' and the nondrafting party is entitled to the remedies under the statute, 'if the fees or

		costs to initiate an arbitration proceeding are not paid within 30 days after the due date... ." (§ 1281.97, subd. (a)(1).) Under the plain language of the statute, then, the triggering event is nothing more than nonpayment of fees within the 30-day period—the statute specifies no other required findings, such as whether the nonpayment was deliberate or inadvertent, or whether the delay prejudiced the nondrafting party. The plain language therefore indicates the Legislature intended the statute to be strictly applied whenever a drafting party failed to pay by the statutory deadline." (*Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, 776.) Although section 1281.97 should be strictly applied, the California Supreme Court has expressly held that "it is not just 'reasonably possible' (*ibid.*) to construe section 1281.98 in harmony with background statutes and principles that allow relief from forfeiture where nonperformance is not willful, fraudulent, or grossly negligent. That construction is amply supported by the Legislature's own declaration of purpose in the statute and legislative history." (*Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 341.) There is no dispute that Manufacturer was responsible for paying the arbitration fee, that Manufacturer did not timely pay the initiating fee to the arbitrator, and that the arbitrator closed the file due to nonpayment. (Melton Decl., ROA No. 36, ¶¶ 6, 9, and 10, Exhibits 2, 5, and 7; Matteo Decl., ROA No. 51, ¶¶ 3-5, Exhibit B, C,

		and D; Maurino Decl., ROA No. 49, ¶ 4, Exhibit B.) Manufacturer does not dispute 1281.97 is strictly applied. (Opposition, 1:8-12.) Manufacturer did not show its failure to pay was not willful, fraudulent, or grossly negligent. The invoice was emailed to Manufacturer's attorney of record, Macy Chan. Even though the invoice was not emailed to the general service address of mbwarratny@wbd-us.com, Manufacturer did not show service on counsel is improper. Attorney Macy Chang still appears on the caption of the opposition filed on August 17, 2026. As Plaintiff points out, Macy Chan did not submit any declaration to support Manufacturer's contention that nonpayment was due to excuse or excusable neglect. Although Manufacturer contends nonpayment was due to mistake and excusable neglect, Manufacturer did not show nonpayment was due to mistake or excusable neglect. Although Plaintiff did not show the December 5, 2025, Order should be vacated, the Court finds Manufacturer materially breached the arbitration agreement and that Plaintiff may properly exercise Plaintiff's option to return to the trial court to proceed with this matter. The Court orders as follows: 1) Plaintiff may withdraw the claim from arbitration and proceed in this Court; 2) The stay on the proceedings is hereby lifted; and

		3) Manufacturer shall pay attorneys' fees and costs in the total amount of $1,390.85 to O'Connor Law Group, P.C. within 30 days. Plaintiff did not show evidentiary sanctions, terminating sanctions, default, or an order finding Manufacturer in contempt are warranted. Therefore, those requests are denied. Status Conference re: ADR is hereby vacated. A Case Management Conference will be scheduled with the input from the attorneys. Plaintiff shall give notice.
56	***HASSIM vs. HALEY***	The Court's tentative is to take Defendant's motion to strike off calendar as Plaintiff has filed a First Amended Complaint on August 17, 2026. (ROA 24.) The parties can either submit on the Court's tentative or appear at oral argument to show cause why the Court should not take the matter off calendar.
57	***Honarkar vs. The Picerne Group, Inc.***	**(1) MOTION FOR LEAVE TO INTERVENE** Third Party, Pacific High Yield Fund I, LLC's ("Pacific") motion to intervene is GRANTED. Pacific moves to intervene in this action for the limited purpose of seeking expungement of the Notices of Pendency of Action (lis pendens) recorded by plaintiff/defendant The Picerne Group, Inc. ("TPG"), in Orange County, California on July 16, 2021 (Instrument No. 2021000459075), December 2, 2021 (Instrument

		No. 2021000730717), March 1, 2022 (Instrument No. 2022000081774), and March 8, 2022 (Instrument No. 2022000090152), which relate to property located in Orange County in the City of Newport Beach, Assessor's Parcel Numbers (APNs) 427-172-02, 427-172-03, 427-172-05 and 427-172-06, known as the Newport Crossing Property. Code Civ. Proc., § 405.30 states in part that a nonparty with an interest in property affected by a notice of pendency of action may apply to the court to expunge the notice, and "shall obtain leave to intervene from the court at or before the time the party brings the motion to expunge the notice." TPG opposes the motion, incorrectly arguing that Code Civ. Proc., § 387 governs Pacific's request, and requires the proposed intervenor to include a proposed answer-in-intervention or complaint-in-intervention with their motion for leave to intervene. Code Civ. Proc., § 405.30, upon which Pacific's motion is based contains no such requirement. That section states that the motion for leave to intervene may be brought at the same time as the motion to expunge, which is what Pacific has done here. Pacific has shown an interest in the property affected by this case, as it holds Title to it. (Slavett Decl., ¶ 4; Tan Decl., ¶¶ 9 and 10.) The motion to intervene is therefore GRANTED.

		Pacific shall give notice of the Court's ruling. **(2) MOTION TO EXPUNGE LIS PENDENS** Pacific High Yield Fund I, LLC's ("Pacific") motion to expunge the lis pendens recorded by plaintiff/defendant The Picerne Group, Inc. ("TPG"), in Orange County, California on July 16, 2021 (Instrument No. 2021000459075), December 2, 2021 (Instrument No. 2021000730717), March 1, 2022 (Instrument No. 2022000081774), and March 8, 2022 (Instrument No. 2022000090152) which relate to property located in Orange County in the City of Newport Beach, Assessor's Parcel Numbers (APNs) 427-172-02, 427-172-03, 427-172-05 and 427-172-06, is GRANTED. Pursuant to Code Civ. Proc. §405.30, anyone with an interest in real property may move a court for an order expunging a *lis pendens*. A court "shall" grant a motion to expunge if either of the following conditions exists: (1) The pleading upon which the lis pendens is based does not contain a real property claim (Code Civ. Proc. §405.31); OR (2) The claimant has not established by a preponderance of the evidence the probable validity of the real property claim (Code Civ. Proc. §405.32). The burden of proof rests with the party responsible for filing the lis pendens. (*Amalgamated Bank v. Superior Court* (2007) 149

		Cal. App. 4th 1003, 1007; *Shah v. McMahon* (2007) 148 Cal. App. 4th 526, 529.) Here, Pacific does not dispute that TPG's Third Amended Complaint contains a real property claim. (Code Civ. Proc. §405.31.) It does dispute the validity of the real property claim. (Code Civ. Proc. §405.32.) Pacific presents evidence that on 6/30/21, Defendant Aryabhata purchased the property from Starboard MacArthur Square, LP, with a loan from Preferred Bank secured by a promissory note/Deed of Trust. (Slavett Decl., ¶ 4.) The Lis Pendens were filed after this, recorded on 7/16/21, 12/2/21, 3/1/22, and 3/8/22. (Slavett Decl., ¶ 3.) Aryabhata defaulted on the promissory note leading to a nonjudicial foreclosure sale in which Pacific as the highest bidder, purchased the property. (Tan Decl, ¶¶ 6, 9.) A Trustee's Deed Upon Sale was recorded in favor of Pacific on 10/30/25. (Tan Decl., ¶¶ 6 and 10; Slavett Decl. ¶ 5.) Accordingly, because the Lis Pendens were recorded after the senior lender's deed of trust, and the senior lender foreclosed, TPG's real property claim lacks merit. (See *Bank of America v. Graves* (1996) 51 Cal.App.4th 607, 611–612 ("A senior foreclosure sale conveys the property free of all junior liens.... Thus, the junior no longer has a lien on the property, and the security has been entirely destroyed.").)

		TPG fails to meet its burden in opposition to show probable validity of its real property claim. TPG presents no evidence to substantiate its claims that Pacific is conspiring with the other defendants so as to render its Title to the property void for fraud reasons. Its arguments are wholly speculative. Furthermore, TPG's argument that the motion is procedurally and technically defective lacks merit. Code Civ. Proc., § 405.30 allows Pacific to obtain leave to intervene at the same time it seeks to expunge the lis pendens. TPG's request to conduct discovery is likewise not supported by legal authority. Accordingly, Pacific's motion is GRANTED. Pacific's request for attorney fees and costs is denied as it does not state the amount of fees or describe the work incurred to support the fee request. Nor does Pacific state whether the sanctions are sought against counsel, TPG or both. "[C]onstitutional principles of due process require a notice of motion to identify the persons against whom monetary sanctions are being sought. (*Cromwell v. Cummings* (1998) 65 Cal.App.4th Supp. 10, 13 [citing *Blumenthal v. Superior Court* (1980) 103 Cal.App.3d 317, 320].) Pacific shall give notice of the Court's ruling.
58	***Off Calendar***	

59	***Lipata vs. Nissan of Orange***	The hearing on Defendant Nissan of Orange's Motion to Compel Arbitration is continued to **10/09/2026 at 10:00 AM in Department C21**. Plaintiff filed an opposition to the motion on 4/13/26. (See ROA 81, 85.) Defendant did not file a (timely) reply. However, on 8/26/26, Defendant filed a "notice of non-opposition" claiming that no opposition had been filed or served. (See ROA 115.) It appears that, perhaps through error or inadvertence, Defendant did not receive the opposing papers. Accordingly, the Court finds it is in the interests of justice to continue the hearing so that Defendant has a fair opportunity to file a reply. The reply papers, if any, shall be due by 09/28/26. The Clerk shall give notice of the continued hearing date.
60	***Mercury Insurance Company vs. Ghazarian***	Cross-Defendant Lisa Cameron's ("Cameron") Motion for Summary Judgment or, in the Alternative, Summary Adjudication, on the First Amended Cross-Complaint by Cross-Complainants Hratch Ghazarian and Araz Ghazarian (the "Ghazarians"), is DENIED. ***<u>Procedural Issues</u>*** Cameron's request for judicial notice of Hratch Ghazarian's licensing by the California Department of Insurance as a public insurance adjuster is granted; the remainder of the request is denied. (ROA 116.) The Court declines to take judicial notice of the truth of the contents of webpages (as opposed to taking judicial notice of

		the existence of the websites themselves). (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 193; see also *Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 889.) The evidentiary objections by the Ghazarians are overruled as moot, in light of the Court's ruling on Cameron's request for judicial notice. The evidentiary objections by Cameron are sustained to the extent the declarants are purporting to opine as to legal conclusions. (See *Summers v. A.L. Gilbert Co.* (1999) 69 Cal.App.4th 1155, 1184.) The Court declines to rule on any remaining objections, because they are not material to the disposition of this motion. (Code Civ. Proc., § 437c, subd. (q).) ***<u>Merits</u>*** Cameron seeks summary judgment (or adjudication) on the sole remaining cause of action for fraud in the Ghazarians' FACC. **Legal Standard** "A party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) "A prima facie showing is one that is sufficient to support the position of the party in question." (*Id.* at 851.) Simply put, "[i]f a party moving for summary judgment in any action . . . would prevail at trial without submission of any issue of material fact

to a trier of fact for determination, then he should prevail on summary judgment." (*Id.* at 855.)

A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c, subd. (p)(2).) The scope of this burden is determined by the material allegations of the plaintiff's complaint. (*Huntsman-West Foundation v. Smith* (2024) 104 Cal.App.5th 1117, 1132.) Once a defendant meets its prima facie showing, the burden shifts to the plaintiff to show by reference to specific facts the existence of a triable issue as to that affirmative defense or cause of action. (*Aguilar*, *supra*, 25 Cal.4th at p. 850.) To meet this burden, the plaintiff must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (*Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.) In ruling on the motion, the court must consider all of the evidence and all of the inferences reasonably drawn therefrom, and must view such evidence and such inferences in the light most favorable to the opposing party." (*Aguilar*, supra, 25 Cal.4th at 843.)

Fraud

To state a claim for intentional misrepresentation, the plaintiff "must prove

		seven essential elements: (1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff *reasonably relied on the representation;* (6) the plaintiff was harmed; and (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff. (*Manderville v. PCG&S Group, Inc.* (2007) 146 Cal.App.4th 1486, 1498 [emphasis in original] [citing CACI No.1900].) In the FACC, the Ghazarians allege that Cameron represented, both orally and in writing, "that there was no other party with any right to take action against the Ghazarians as a result of the Accident and that the Settlement Agreement would satisfy and extinguish all potential liability and all potential claims against the Ghazarians based upon the Accident." (FACC at ¶ 30.) Presently, Cameron contends the Ghazarians "cannot establish one or more essential elements of their fraud claim, including justifiable reliance, misrepresentation, proximate causation, and legally recoverable damages." (ROA 120 [Not. of Mot. at p. 2].) With respect to justifiable reliance, Cameron contends there is "undisputed evidence" that the Ghazarians "were on actual and inquiry notice of

		Mercury's subrogation rights before the settlement"; and, as such, they "cannot plausibly claim they were unaware of Mercury's rights at the time of the settlement." In support of this argument, Cameron points to the "multiple written subrogation demand letters" that were sent to Ghazarians. (Mot. at pp. 9-10.) The Court finds this argument is not persuasive. Justifiable reliance generally does not encompass a duty to investigate; a plaintiff's alleged negligence is not a defense to a claim for intentional misrepresentation. (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1247.) "Generally, the question of whether reliance is justifiable is one of fact." (*Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1194.) Summary judgment is not appropriate unless "reasonable minds can come to only one conclusion based on the facts." (*Ibid.*, internal citation omitted.) However, courts have cautioned that, it is a "rare case where the undisputed fact leave no room for a reasonable difference of opinion." (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 794, quoting *OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 864–865.) This is not the "rare case" where summary judgment is appropriate. Mercury claims subrogation rights under Insurance Code section 11580.2, which states, in relevant part, that the "insurer paying a claim under an uninsured motorist endorsement or coverage shall be

		entitled to be subrogated to the rights of the insured to whom the claim was paid against any person legally liable for the injury or death *to the extent that payment was made*." (Ins. Code, § 11580.2, subd. (g).) There is no evidence in the record that the Ghazarians were told by Cameron that a payment had been made by Mercury, her insurer, with respect to the subject collision. Further, the letters sent by Mercury to the Ghazarians, merely stated that "we … have paid, *or will pay*, for damages resulting from this loss" (emphasis added). Even if it is undisputed that the Ghazarians received and read these letters, Cameron's argument assumes that the Ghazarians had knowledge Cameron had received payment from Mercury. However, Cameron has not presented any evidence that the Ghazarians actually knew Cameron had already accepted payment from Mercury before they entered into the settlement agreement. A such, it was not "preposterous" or "obviously false" for the Ghazarians to believe that Cameron had not assigned or subrogated her rights, when the express representation in the agreement said she had not. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 865.) Cameron's reliance on *OCM Principal Opportunities Fund* and *Gray v. Don Miller & Associates, Inc.* (1984) 35 Cal.3d 498, is misplaced. The authorities do not lend support for the propositions that Cameron asserts in her motion. (See Mot. at pp. 11-12.) In both cases, the appellate court affirmed the ruling *in favor of the*

		plaintiff on the fraud claims. (See *OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 842 ["We reverse the denial of prejudgment interest, and otherwise affirm the judgment in favor of the investment funds"]; *Gray v. Don Miller & Associates, Inc.* (1984) 35 Cal.3d 498, 503–504 ["In the present case, although there was evidence that plaintiff had some experience in purchasing real estate, he never dealt through a broker previously, and there is nothing to indicate he could not reasonably have relied on Fitch's representation that the offer had been accepted. We cannot say, therefore, that the trial court erred in concluding plaintiff reasonably relied on the representation of Fitch, a licensed salesman, who stood in a fiduciary relationship to plaintiff in the transaction."].) More troubling is the fact that the purportedly "quoted" language from *Gray* (i.e., the "California Supreme Court held that a plaintiff may not 'close his eyes to facts which he knows or should know' and then claim to have been defrauded") does not actually appear in *Gray* at all. (Mot. at p. 12.) The quoted language (i.e., "close his eyes") does not even appear in *Gray*. Cameron's counsel is strongly advised to read the text of every cited case before citing it in a brief. In sum, the Court finds justifiable reliance is a question of fact to be resolved by the factfinder, and that summary judgment or adjudication is not appropriate.

		Cameron also argues that the Ghazarians could not have relied on any representation that the settlement agreement would extinguish all claims (including by Mercury) against them, or that any oral representations were reliable. Even assuming for the sake of argument that these arguments were persuasive, Cameron would not be entitled to summary judgment or adjudication, because this would not dispose of the entirety of the fraud claim. The same is true with respect to Cameron's argument that the Ghazarians cannot establish causation because Mercury's "subrogation claim arises from independent statutory and contractual rights, not from any statement by Cameron." (Mot. at p. 19.) Even if the Ghazarians cannot establish causation with respect to their alleged damages of defense costs and potential liability, there remains the issue of damages with respect to the amounts paid by the Ghazarians in the settlement payment to Cameron. For the foregoing reasons, the motion is denied in its entirety. Cross-Complainants shall give notice of the Court's ruling.
61	***Parrish-Lopez vs. Romero***	Defendant Arturo Landa Romero has filed a motion to compel plaintiff Monica Parrish-Lopez to serve verified responses without objection to the form interrogatories, set one, that he served upon her. [ROA #39.]

		Defendant's proof of service for the motion fails to meet the requirements of Code of Civil Procedure section 1013b(b)(1). In the absence of any opposition or response by Plaintiffs, proof of proper service on them is insufficient. If Defendant files sufficient proof of service prior to the hearing, the court will decide the motion on its merits. Otherwise, the hearing will be continued to September 18, 2026 at 10:00 a.m. in Department C-21.
62	***Place vs. Sustayta***	Plaintiff Dana M. Place's motion to compel nonparty Miles Sustayta to appear for deposition is DENIED. [ROA #92.] CRC Rule 3.1346 requires that all moving papers supporting a motion to compel deposition responses or document production from a nonparty deponent "must be personally served on the nonparty deponent unless the nonparty deponent agrees to accept service by mail at an address specified on the deposition record." Failure by the moving party to give proper notice to the deponent renders any subsequent court order voidable. (*Parker v. Wolters Kluwer US, Inc.* (2007) 149 Cal. App. 4th 285, 296; in accord, *Johnson v. E-Z Ins. Brokerage, Inc.* (2009) 175 Cal. App. 4th 86, 98.) Proof of service must be filed five court days before the hearing. CRC 3.1300(c). Here, Plaintiff has filed no proof of service showing any kind of service on Miles Sustayta.

		The motion cannot be granted in the absence of proof of proper service on Miles Sustayta. Accordingly, the motion is DENIED.
63	***Benefit Street Partners Realty Operating Partnership, L.P. vs. Tauro Capital Advisors, Inc.***	The motion of plaintiffs Benefit Street Partners Realty Operating Partnership, L.P. and BSP OF Finance, LLC for an order admitting Howard W. Schub to appear as counsel *Pro Hac Vice* in this case is GRANTED. [ROA #500] Counsel has submitted a properly verified application. Service on the State Bar, as well as payment as required to the State Bar, has been shown. Based on the verified application and supporting declaration, Howard W. Schub qualifies for pro hac vice admission. Plaintiffs' unopposed motion to compel defendants Mathhew Bucaro, D. Scott Lee, and Stephen Stein to appear for deposition is granted in part and denied in part. The motion is granted as to Defendant Bucaro, it is otherwise denied. ***General legal authority*** CCP section 2025.450, subdivision (a) provides that a party noticing a deposition "may move for an order compelling the deponent's attendance and testimony, and the production for inspection of any document, electronically stored information, or tangible thing described in the deposition notice" if, "after service of a deposition notice, a party to the action or an officer, director, managing agent, or employee of a party, or a

		person designated by an organization that is a party under Section 2025.230, without having served a valid objection under Section 2025.410, fails to appear for examination, or to proceed with it, or to produce for inspection any document, electronically stored information, or tangible thing described in the deposition notice." (Code Civ. Proc., § 2025.450, subd. (a).) Pursuant to CCP 2025.410, subdivision (a), a party "served with a deposition notice that does not comply with Article 2 (commencing with Section 2025.210) waives any error or irregularity unless that party promptly serves a written objection specifying that error or irregularity at least three calendar days prior to the date for which the deposition is scheduled, on the party seeking to take the deposition and any other attorney or party on whom the deposition notice was served." A motion to compel under this section must "set forth specific facts showing good cause justifying the production for inspection of any document, electronically stored information, or tangible thing described in the deposition notice" and "be accompanied by a meet and confer declaration under Section 2016.040, or, when the deponent fails to attend the deposition and produce the documents, electronically stored information, or things described in the deposition notice, by a declaration stating that the petitioner has contacted the deponent to inquire about the nonappearance." (Code Civ. Proc., § 2025.450, subd. (b).)

Good cause is shown through "declarations containing *specific facts* justifying inspection of the documents described in the notice." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2025) ¶ 8:801.2.)

If the moving party demonstrates good cause, then the opposing party must justify any objections. (*Kirkland v Superior Court* (2002) 95 Cal.App.4th 92, 98.)

Analysis

Plaintiffs' depositions notices were electronically served on all parties, including self-represented litigants, Lee and Stein. (Hart Decl., ROA No. 481, ¶ 13, Exhibits C, D, and E.) At that time there was no showing that these two parties affirmatively consented to electronic service. As such, electronic service of the deposition notices on them was improper. Accordingly, the motion to compel is denied as to Defendants Lee and Stein.

As for Bucaro, at the time Plaintiff served notice of his deposition, Bucaro was represented by counsel and electronic service on Bucaro was proper. (Hart Decl., ¶ 13, Exhibit C.)

Plaintiffs showed they attempted to reschedule Bucaro's deposition, but Bucaro did not provide alternative dates for his deposition.

Plaintiffs showed they were professionally courteous and provided ample time for Bucaro to retain counsel, then continued the deposition to allow the parties to mediate per the parties'

		agreement, which the defendants later repudiated, and then attempted to obtain a mutually aggreeable date with Bucaro's counsel after Bucaro's counsel objected to the deposition notice. (Hart Decl., ¶¶ 6-11, 14, 16, and 17, Exhibits A, B, F, H, and I.) However, Bucaro still has not provided a date for his deposition and after the parties met and conferred, Bucaro and Plaintiffs concluded court relief was necessary to resolve the dispute. (*Id.*, ¶¶ 17 and 23.) Accordingly, the unopposed motion is granted as to Defendant Bucaro. The request for sanctions is denied. Plaintiffs are to give notice of the Court's ruling.
64	***Citizens Business Bank vs. Sovereign Arts and Metal Finishing LLC***	Plaintiff Citizen Business Bank, National Association's ("Plaintiff") Motion to Claim Attorney's Fees for Services Up To And Including Rendition of Judgment is GRANTED. Plaintiff moves, under Civil Code section 1717 and CCP sections 1032 and 1033.5, for an award of $25,469.00 in attorneys' fees, jointly and severally, against Defendants Sovereign Arts and Metal Finishing, LLC and Michael Bradley Johnson. ***<u>Legal Standard</u>*** CCP section 1033.5 provides for an award of attorneys' fees, as an item of costs, when authorized by contract. (Code Civ. Proc., § 1033.5, subd. (a)(10)(A).) This includes "attorney's fees

		awarded pursuant to Section 1717 of the Civil Code." (Code Civ. Proc., § 1033.5, subd. (c)(5)(B).) Civil Code section 1717, in turn, states in relevant part, that "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code, § 1717, subd. (a).) For purposes of Civil Code section 1717, the "prevailing party" is "the party who recovered a greater relief in the action on the contract." (Civ. Code, § 1717, subd. (b)(1).) A court assessing attorney fees begins with a touchstone or lodestar figure, based on the "careful compilation of the time spent and reasonable hourly compensation of each attorney ... involved in the presentation of the case." (*Serrano v. Priest* (1977) 20 Cal.3d 25, 48.) Where a fee motion is supported with declarations from counsel and billing records to establish the hours of work, the party opposing the motion can either "attack the itemized billings with evidence that the fees claimed were not appropriate, or obtain the declaration of an attorney with expertise in the procedural and substantive law to demonstrate that the fees claimed were unreasonable." "In challenging attorney fees as excessive because too many hours of work are claimed, it is the burden of the challenging party

to point to the specific items challenged, with a sufficient argument and citations to the evidence. General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice.” (*Premier Medical Management Systems, Inc. v. California Ins. Guarantee Assn.* (2008) 163 Cal.App.4th 550, 563–564.)

Application

Here, there is no dispute that Plaintiff is the prevailing party under the Promissory Note between Plaintiff and Sovereign Arts and Metal Finishing, LLC, which includes the following provision for attorneys’ fees and expenses:

> Lender may hire or pay someone else to help collect this Note if Borrower does not pay. Borrower will pay Lender that amount. This includes, subject to any limits under applicable law, Lender’s attorneys’ fees and Lender’s legal expenses, whether or not there is a lawsuit, including attorneys’ fees, expenses for bankruptcy proceedings (including efforts to modify or vacate any automatic stay or injunction), and appeals. Borrower also will pay any court costs, in addition to all other sums provided by law.

(Baker Decl. at ¶ 6, Exh. 1.)

Additionally, the Commercial Guaranty between Plaintiff and Michael Bradley Johnson includes the following provision for attorneys’ fees and expenses:

		Guarantor agrees to pay upon demand all of Lender's costs and expenses, including Lender's attorneys' fees and Lender's legal expenses, incurred in connection with the enforcement of this Guaranty. Lender may hire or pay someone else to help enforce this Guaranty, and Guarantor shall pay the costs and expenses of such enforcement. Costs and expenses include Lender's attorneys' fees and legal expenses whether or not there is a lawsuit, including attorneys' fees and legal expenses for bankruptcy proceedings (including efforts to modify or vacate any automatic stay or injunction), appeals, and any anticipated post-judgment collection services. Guarantor also shall pay all court costs and such additional fees and may be directed by the court. (Baker Decl. at ¶ 9, Exh. 3.) There is also no dispute that Plaintiff is the "prevailing party" for the purpose of an award of fees and costs, as the party "who recovered a greater relief in the action on the contract" (i.e., the Judgment in Plaintiff's favor, and against Defendants, jointly and severally, in the amount of $524,350.59). (ROA 116.) With respect to the reasonableness of the fees claimed, the Court finds Plaintiff has met its burden of showing that its counsel's rates were reasonable, as were the hours spent for litigating this action to judgment. As reflected in the supporting declaration from Plaintiff's counsel,

		the hourly rate ranged between $335 to $350, and the paralegal rate was $295. (Crowell Decl. at ¶ 4.) The Court is well-familiar with rates in this area, and these rates are undoubtedly within the range for this community for similar work. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.) Further, the supporting declaration and exhibits reflect that Plaintiff's counsel billed a total of 73.6 hours in taking this matter from the initiation of the complaint through entry of judgment. This amount is reasonable considering the work involved. Thus, the burden shifts to Defendants to challenge or attack the reasonableness of the fees. By failing to oppose this motion, Defendants have not met their burden. Accordingly, the motion is granted. Plaintiff is awarded $25,469.00 in attorneys' fees, jointly and severally, against Defendants Sovereign Arts and Metal Finishing, LLC and Michael Bradley Johnson. Plaintiff shall give notice of the ruling.